01 / WELCOME

# The Reality of Craft Fair Economics

- A crowded craft fair booth does not mean your handmade business made money.
- Between $150-$400 booth fees, tent rentals, Square swipe fees, packaging, and driving, fixed costs silently erode your margins.
- CraftMargin Studio provides a mathematical framework for handmade makers to price items for in-person profit, compare margins against online platforms, and calculate their true event break-even point.
- Use the companion Excel workbook alongside this guide. All figures are realistic fictional illustrations.

### KEY DECISION TAKEAWAYS

- **THE BOOTH FEE IS A FIXED EXPENSE**
- **LABOR IS NOT PROFIT**
- **PRICE FOR PROFIT BEFORE BOOKING**

02 / PRODUCTION COST

# Materials, Shrinkage, & Batch Yields

- Never guess the cost of your raw materials. Calculate the exact unit cost from bulk supply purchases.
- Include consumable packaging: custom branded tags, ribbon, protective bags, and care instruction cards.
- Factor in a 5% to 8% shrinkage allowance for test pours, cutting scraps, glaze flaws, or transport breakage.
- The formula: Batch Materials Total divided by Usable Batch Yield equals Direct Unit Materials Cost.

## KEY DECISION TAKEAWAYS

- **BULK SUPPLY BREAKDOWN**
- **PACKAGING INCLUDED**
- **SCRAP & FLAW ALLOWANCE**

03 / LABOR COSTING

# Paying Yourself a Real Maker Wage

- If your pricing only covers supplies, you do not have a business—you have an expensive volunteer hobby.
- Set a non-negotiable hourly wage floor: at least $20.00 to $25.00 per hour for skilled artisanal labor.
- Track timing honestly: include preparation, active production, assembly, curing/drying, and packaging.
- Labor Cost per Unit = Total Direct Hours multiplied by Your Hourly Wage Floor.

## KEY DECISION TAKEAWAYS

- **$20-$25/HR WAGE FLOOR**
- **MEASURE ACTIVE WORKING TIME**
- **LABOR IS COGS, NOT PROFIT**

04 / THE BOOTH TRAP

# How Fixed Event Costs Eat Margin

- A $200 booth fee is a fixed lump sum that must be amortized across the items you physically sell.
- If you sell 100 items, the booth cost is $2.00 per item. If you sell only 20 items, the booth cost spikes to $10.00 per item!
- Before signing vendor contracts, know how many units of inventory you can transport, display, and sell.
- Always include parking, fuel, booth display depreciation, and card reader transaction fees.

### KEY DECISION TAKEAWAYS

- **FIXED COSTS DILUTE WITH VOLUME**
- **LOW SALES SPIKE PER-ITEM COSTS**
- **CAPACITY DETERMINES RISK**

05 / MULTI-CHANNEL

# Craft Fair vs. Etsy Fee Architecture

- Online sales have near-zero upfront fixed booth cost, but carry 10% to 15% platform and transaction deductions.
- In-person craft fairs have high upfront fixed booth costs, but lower marginal transaction fees (Square ~2.6% + $0.10).
- This guide shows why you should NOT charge identical prices across channels without modeling the net result.
- Keep in-person prices rounded to clean dollar values to eliminate change-making bottlenecks.

### KEY DECISION TAKEAWAYS

- **SQUARE: 2.6% + $0.10**
- **ETSY: 6.5% + 3% + $0.25 + $0.20**
- **ROUND TO WHOLE DOLLARS**

06 / BREAK-EVEN

# The Minimum Viable Market Day

- Your break-even sales count is the minimum volume needed before your event yields a single penny of net income.
- Formula: Total Fixed Event Costs divided by (Average Retail Price minus Base Unit Production Cost).
- In our worked example: $305 fixed overhead / $16.20 contribution margin = exactly 19 units to break even.
- To earn a $200 personal maker day-wage, you must sell 34 units.

## KEY DECISION TAKEAWAYS

- **BREAK-EVEN = FIXED / MARGIN**
- **19 UNITS TO COVER BOOTH**
- **34 UNITS FOR $200 DAY WAGE**

07 / PRICING RULES

# The Psychology of Market-Day Numbers

- Craft fair buyers make rapid purchasing decisions. Never slow down your checkout line with coin math.
- Round all retail price tags to the nearest whole dollar (e.g., $18, $24, $28, $35) or clean $0.50 increments.
- Customers perceive $28 as deliberate and professional; $27.84 signals confusing automated online math.
- Use bundling (e.g., '1 for $14, 2 for $25') only when individual margins comfortably absorb the multi-pack discount.

## KEY DECISION TAKEAWAYS

- **NO LOOSE CHANGE**
- **RAPID CHECKOUT FLOW**
- **BUNDLES MUST PROTECT MARGIN**

08 / CASE STUDIES

# Worked Examples Across 3 Product Types

- Candle Maker: $3.50 materials + 0.4 hrs @ $22/hr = $12.30 base cost. Fair price: $28.00. Net margin: 44%.
- Ceramic Potter: $4.50 materials + 0.75 hrs @ $24/hr = $22.50 base cost. Fair price: $42.00. Net margin: 38%.
- Jewelry Maker: $2.80 materials + 0.35 hrs @ $20/hr = $9.80 base cost. Fair price: $24.00. Net margin: 51%.
- Notice how higher making time requires disciplined retail pricing to preserve profit.

### KEY DECISION TAKEAWAYS

- **SOY CANDLE: $28 RETAIL**
- **CERAMIC MUG: $42 RETAIL**
- **CLAY EARRINGS: $24 RETAIL**

09 / CHECKLIST

# Seven Days Before The Craft Market

- T-7 Days: Confirm inventory counts. Verify that total potential retail value is at least 3x your break-even revenue.
- T-3 Days: Charge card readers, test offline payment mode, and pack physical receipt pads as backup.
- T-2 Days: Review local sales tax obligations and verify whether event organizers collect on your behalf.
- T-1 Day: Prepare cash change bank ($100 in 5s and 1s), inventory checklist, branded shopping bags, and table weights.

## KEY DECISION TAKEAWAYS

- **3X INVENTORY BUFFER**
- **TEST CARD HARDWARE**
- **CASH BANK & WEIGHTS READY**

10 / FRAMEWORK

# When to Walk Away From a Vendor Contract

- Not every craft market is worth your weekend. Protect your time, inventory, and mental energy.
- Red Flag 1: Booth fee exceeds 25% of your realistic maximum gross sales capacity for that day.
- Red Flag 2: Organizers cannot provide historical attendance data or proof of active promotional spending.
- KindGrid Studio creates practical decision tools for independent makers. Model the numbers first.

## KEY DECISION TAKEAWAYS

- **PROTECT YOUR WEEKENDS**
- **MAX 25% BOOTH RATIO**
- **MODEL BEFORE SIGNING**